

Customer Shopping Behavior Analysis

1. Project Overview

This project analyzes customer shopping behavior using transactional data from 3,900 purchases across various product categories. The goal is to uncover insights into spending patterns, customer segments, product preferences, and subscription behavior to guide strategic business decisions.

2. Dataset Summary

- Rows: 3,900
- Columns: 18
- Key Features:
 - Customer demographics (Age, Gender, Location, Subscription Status) - Purchase details (Item Purchased, Category, Purchase Amount, Season, Size, Color) - Shopping behavior (Discount Applied, Promo Code Used, Previous Purchases, Frequency of Purchases, Review Rating, Shipping Type) - Missing Data: 37 values in Review Rating column

3. Exploratory Data Analysis using Python

We began with data preparation and cleaning in Python:

- Data Loading: Imported the dataset using pandas.

Initial Exploration: Used `df.info()` to check structure and `.describe()` for summary statistics.

	Customer ID	Age	Gender	Item Purchased	Category	Purchase Amount (USD)	Location	Size	Color	Season	Review Rating	Subscription Status
0	1	55	Male	Blouse	Clothing	53	Kentucky	L	Gray	Winter	3.1	Yes
1	2	19	Male	Sweater	Clothing	64	Maine	L	Maroon	Winter	3.1	Yes
2	3	50	Male	Jeans	Clothing	73	Massachusetts	S	Maroon	Spring	3.1	Yes
3	4	21	Male	Sandals	Footwear	90	Rhode Island	M	Maroon	Spring	3.5	Yes
4	5	45	Male	Blouse	Clothing	49	Oregon	M	Turquoise	Spring	2.7	Yes

Shipping Type	Discount Applied	Promo Code Used	Previous Purchases	Payment Method	Frequency of Purchases
Express	Yes	Yes	14	Venmo	Fortnightly
Express	Yes	Yes	2	Cash	Fortnightly
Free Shipping	Yes	Yes	23	Credit Card	Weekly
Next Day Air	Yes	Yes	49	PayPal	Weekly
Free Shipping	Yes	Yes	31	PayPal	Annually

- **Missing Data Handling:** Checked for null values and imputed missing values in the Review Rating column using the median rating of each product category.
- **Column Standardization:** Renamed columns to snake case for better readability and documentation.
- **Feature Engineering:**
 - Created age_group column by binning customer ages.
 - Created purchase_frequency_days column from purchase data.
- **Data Consistency Check:** Verified if discount_applied and promo_code_used were redundant; dropped promo_code_used.
- **Database Integration:** Connected Python script to PostgreSQL and loaded the cleaned DataFrame into the database for SQL analysis.

4. Data Analysis using SQL (Business Transactions)

We performed structured analysis in PostgreSQL to answer key business questions:

1. Revenue by Gender – Compared total revenue generated by male vs. female customers

	gender	revenue
▶	Male	157890
	Female	75191

2. High-Spending Discount Users – Identified customers who used discounts but still spent above the average purchase amount

	customer_id	purchase_amount
	13	72
	16	81
	20	90
	22	62
	24	88
	29	94
	32	79
	33	67
	35	91
	37	69
customer 3		×

3. Top 5 Products by Rating – Found products with the highest average review ratings.

	item_purchased	avg_product_rating
▶	Gloves	3.86
	Sandals	3.84
	Boots	3.82
	Hat	3.80
	Handbag	3.78

4. Shipping Type Comparison – Compared average purchase amounts between Standard and Express shipping.

	shipping_type	avg_purchase_amount
▶	Express	60.48
	Standard	58.46

5. Subscribers vs. Non-Subscribers – Compared average spend and total revenue across subscription status.

	subscription_status	total_customers	avg_spend	total_revenue
▶	No	2847	59.87	170436
	Yes	1053	59.49	62645

6. Discount-Dependent Products – Identified 5 products with the highest percentage of discounted purchases.

	item_purchased	discount_rate
▶	Hat	50.00
	Sneakers	49.66
	Coat	49.07
	Sweater	48.17
	Pants	47.37

7. Customer Segmentation – Classified customers into New, Returning, and Loyal segments based on purchase history.

	customer_segment	number_of_customers
►	Loyal	3116
	Returning	701
	New	83

8. Top 3 Products per Category – Listed the most purchased products within each category

	category	item_purchased	total_orders	item_rank
►	Accessories	Jewelry	171	1
	Accessories	Sunglasses	161	2
	Accessories	Belt	161	3
	Clothing	Blouse	171	1
	Clothing	Pants	171	2
	Clothing	Shirt	169	3
	Footwear	Sandals	160	1
	Footwear	Shoes	150	2
	Footwear	Sneakers	145	3
	Outerwear	Jacket	163	1
	Outerwear	Coat	161	2

9. Repeat Buyers & Subscriptions – Checked whether customers with >5 purchases are more likely to subscribe

	subscription_status	repeat_buyers
▶	Yes	958
	No	2518

10. Revenue by Age Group – Calculated total revenue contribution of each age group

	age_group	total_revenue
▶	Young Adult	62143
	Middle-aged	59197
	Adult	55978
	Senior	55763

5. Dashboard in Power BI

Finally, we built an interactive dashboard in Power BI to present insights visually.



6. Business Recommendations

- **Boost Subscriptions** – Promote exclusive benefits for subscribers.
- **Customer Loyalty Programs** – Reward repeat buyers to move them into the “Loyal” segment.
- **Review Discount Policy** – Balance sales boosts with margin control.
- **Product Positioning** – Highlight top-rated and best-selling products in campaigns.
- **Targeted Marketing** – Focus efforts on high-revenue age groups and express-shipping users